



ESSENTIAL

Since your goal with a secured card is to establish or re-establish good credit, make sure that the company issuing the card reports to a credit bureau. Otherwise, the card can't help you build or repair your credit history.

Secured cards are a favorite with unscrupulous marketers and you're a potential target because you can't easily obtain credit. Secured cards typically carry a higher interest rate and higher fees than regular credit cards. Ask whether there are application or processing fees, which can total hundreds of dollars. The latest trend in secured cards is no application fees, so do your homework and save yourself some money.

Cosigned Credit Cards

If all else fails, you may be able to find someone to cosign on a credit card for you. Remember this: if you do take this route and you don't make your payments, you can ruin the credit of the cosigner, who would have to pay off your debt. You wouldn't want to do this to someone who was willing to go out on a limb for you.



ALERT

Don't fall for advice given by some credit-repair services or credit doctors telling you to obtain an employer identification number (EIN) and apply for credit using that instead of your social security number, so your credit history doesn't pop up when a credit check is performed. This evasion is a felony.
